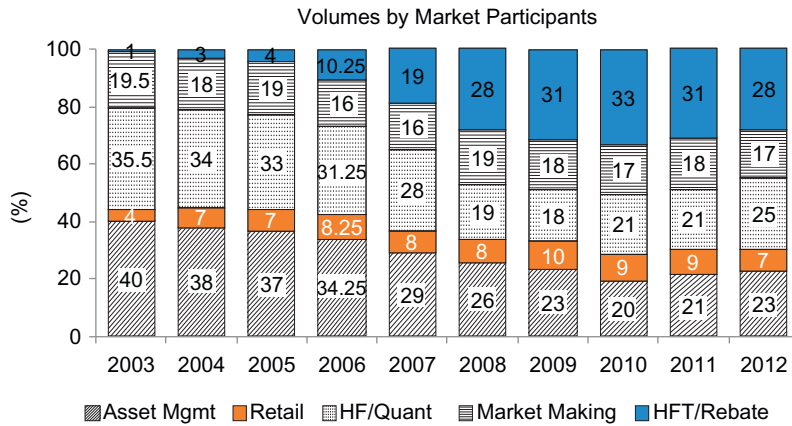




■ **Figure 1.10** Volumes by Market Participants (values in the graph may not add to 100 due to rounding).

Hedge fund trading volumes as a percentage of the total decreased slightly, but this is due to the increased competition across hedge funds, withdrawal of dollars, and a shift for some of these funds and managers from traditional hedge fund strategies into the ultra-short-term high frequency strategies. Hedge fund volume percentage also increased slightly in 2012. These changing volume percentages are illustrated in [Figure 1.10](#).

Opponents of high frequency trading will often argue that it is disadvantageous to institutional and retail investors because it is causing trading costs to spike and liquidity to dryup. We have always found it humorous that whenever someone is trying to make a point or effect change to something that will benefit them, they pull retail into the mix and imply that the current structure is harming those retail investors in particular, so we must make changes in order to protect these mom and pop investors. Otherwise, these retail investors are almost entirely ignored. What is more likely in these situations is that the market has become increasingly competitive and high frequency traders have achieved higher levels of profitability than traditional investors. As such, they are pushing for change that will either favor their particular trading needs or investment style, or help them, albeit in an indirect way, by taking an advantage away from a competitor.

For example, during the period of increased high frequency trading activity (2006–2009) these funds were reported to be highly profitable. Conversely, over the same period the more traditional funds were not as profitable as they had been previously, especially in comparison to the high frequency traders. As a result, the belief (either correct or not) is that high frequency traders must be doing something that is harmful and